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The Effect of Rising Cost of Living on the Expenditure Behaviour of Middle-Income Families

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Abstract
The rising cost of living has become a critical challenge for middle-income households, reshaping their expenditure patterns and financial stability. This study examines how inflation-driven increases in the cost of essentials such as food, housing, healthcare, education, and transport have altered household behaviour in India between 2020 and 2025. Relying on secondary data from the Household Consumption Expenditure Survey (HCES) 2023–24, Reserve Bank of India (RBI) reports, and international sources including IMF and OECD, the research employs descriptive statistics, comparative analysis, and trend evaluation. The findings reveal three major shifts: first, both rural and urban households have increased their allocation to essentials, with non-essential spending particularly on education, recreation, and clothing declining. Second, household savings have fallen sharply from 22.7% of GDP in 2020 to 18.1% in 2024, with further declines projected for 2025. Third, families are prioritizing survival needs while postponing long-term investments, often relying on credit to sustain consumption. These behavioural adaptations highlight the growing financial vulnerability of India's middle class. The study concludes that unless targeted interventions such as middle-class tax relief, expanded public healthcare and education, and financial literacy initiatives are implemented, the erosion of household savings and cutbacks in human capital investment may undermine both social mobility and long-term economic resilience.

Keywords: Cost of Living, Middle-Income Households, Inflation, Consumption Patterns, Household Savings, India, Financial Resilience

1. INTRODUCTION

1.1 Background of the Study

The cost of living refers to the amount of money required to sustain a certain standard of living by covering basic expenses such as housing, food, education, healthcare, and transportation. It is a crucial economic indicator that directly influences consumer behaviour, wage demands, and poverty thresholds (OECD, 2021). As prices of these essential goods and services increase, individuals and families face mounting financial pressure, particularly those in the middle-income bracket who often do not qualify for subsidies or welfare programs.

Inflation, the sustained increase in the general price level of goods and services, plays a central role in driving up the cost of living. It erodes purchasing power and forces households to reassess their spending habits (Blanchard & Johnson, 2017). In recent years, global inflationary trends triggered by supply chain disruptions, geopolitical conflicts, and post-pandemic recovery have significantly affected household

budgets (IMF, 2023). In India, the MoSPI Household Consumption Expenditure Survey (2023–24) highlights that essentials such as food, housing, and healthcare now absorb an increasing share of both rural and urban household income, underscoring the intensity of cost-of-living pressures.

1.2 Rationale

Middle-income families represent a substantial portion of the population in both developed and developing economies. Despite their perceived financial stability, they often find themselves in a precarious position during inflationary periods. Unlike low-income households, they may not qualify for direct governmental assistance; and unlike high-income households, they have limited capacity to absorb financial shocks (Banerjee & Duflo, 2019). This unique vulnerability makes it critical to study how their expenditure patterns shift in response to rising living costs.

1.3 Problem Statement

The traditional spending patterns of middle-income families where a balance exists between essential and discretionary expenses are being increasingly disrupted due to rising living costs. Essentials such as housing, education, and healthcare now consume a larger share of monthly incomes, often at the expense of savings, recreational spending, and long-term investments. These shifts may have long-term socioeconomic consequences including increased financial insecurity, reduced quality of life, and greater vulnerability to economic downturns (Stiglitz et al., 2018).

1.4 Research Objectives: This study is guided by the following objectives:

1. To investigate the changes in consumption habits among middle-income families due to the rising cost of living.
2. To assess the impact of inflation on savings and financial planning.
3. To analyze the prioritization of essential versus non-essential expenses.

1.5 Scope and Limitations: This study focuses on middle-income families in urban and semi-urban settings, as these populations are most directly impacted by market-driven cost fluctuations. The scope is limited to the analysis of household expenditures across key categories such as food, housing, education, healthcare, and transportation between the years 2020 and 2025. The study relies on secondary data from credible sources including MoSPI (2023–24), RBI (2020–2024), IMF, and OECD. While these datasets provide robust insights into household-level trends, they may not capture micro-level regional differences or the lived experiences of individual households. Furthermore, although inflation is a global phenomenon, this study primarily examines national-level trends in India, which may limit generalizability across different economic and cultural contexts.

2. LITERATURE REVIEW

2.1 Theoretical Framework

Keynesian Consumption Theory

According to John Maynard Keynes, consumption is primarily a function of current income. As income increases, so does consumption; however, not in the same proportion (Keynes, 1936). In the context of rising living costs, if household incomes remain stagnant while prices rise, purchasing power declines, forcing families to reduce consumption or reprioritize expenditure categories.

Engel's Law

Engel's Law states that as income increases, the proportion of income spent on food decreases, even if the actual amount spent rises (Engel, 1857). In contrast, non-food expenditures such as housing, education, and healthcare increase as income rises. However, under inflationary pressure, middle-income families

may revert to spending a larger proportion of income on food and essentials, which runs counter to Engel's typical observation.

Permanent Income Hypothesis

Friedman's Permanent Income Hypothesis argues that individuals base their consumption decisions on expected long-term average income rather than current income alone (Friedman, 1957). Rising living costs, particularly when persistent, disrupt this assumption, forcing middle-income households to adjust consumption downward due to uncertainty about future income stability.

These theoretical perspectives provide a foundation for interpreting how households alter expenditure behaviour under inflationary stress.

2.2 Review of Previous Studies

Domestic Studies

Several Indian studies have highlighted the impact of inflation on middle-class consumption patterns. Kumar and Rani (2020) found that urban middle-income families reduced discretionary spending and prioritized essential needs such as food and education. Desai (2021) emphasized a shift toward lower-cost alternatives in groceries, healthcare, and fuel. More recent evidence strengthens these findings such as RBI (2023) reported a sharp fall in household financial savings, while MoSPI (2024) data revealed a growing share of expenditure on housing, transport, and healthcare. Recent Economic and Political Weekly (EPW) articles (2023, 2024) have also stressed that middle-income households face an unprecedented squeeze, balancing stagnant incomes with inflationary shocks.

Global Studies

Globally, research shows a consistent pattern of expenditure adjustment under inflationary strain. Browning and Crossley (2001) documented how U.S. middle-income households reallocated funds away from leisure and dining to cover rising housing and utility costs. In the UK, Smith and Jacobs (2019) found that families responded to cost pressures by increasing reliance on credit and reducing savings, especially in urban centres. More recently, the OECD (2022) reported that the inflationary spike post-COVID-19 disproportionately impacted middle-income groups, who faced rising costs without a corresponding rise in income or policy support.

Taken together, both Indian and international studies demonstrate that middle-income households face similar inflation-induced adjustments, although the severity varies across contexts.

2.3 Impact of Inflation on Middle-Class Spending Habits

Middle-class families often rely on fixed or moderately rising incomes, making them highly vulnerable to inflationary pressures (Banerjee & Duflo, 2019). Chatterjee and Sengupta (2022) found that price surges in food, education, and healthcare disproportionately affect this group, resulting in postponed lifestyle expenditures and heightened financial stress. Evidence from Southeast Asia also supports this trend: Lino (2020) observed significant cutbacks in educational spending, traditionally considered a long-term investment, under inflationary pressure.

Recent official data reinforces these findings. MoSPI (2024) reported that essentials such as food, housing, healthcare, and transport now account for more than 80% of total rural and urban expenditure, while non-essentials such as education and recreation have declined sharply. This suggests that middle-income families are reprioritizing budgets toward survival needs while scaling back long-term and aspirational spending.

2.4 Identification of Research Gap

While multiple studies have examined the macroeconomic impacts of inflation and broad consumer spe-

nding trends, relatively few focus specifically on the nuanced changes in expenditure behaviour of middle-income families over time. There is limited comparative analysis of essentials versus non-essentials using recent post-pandemic data. Moreover, much of the existing literature does not address the adaptive strategies families adopt such as debt reliance, substitution effects, or changes in savings behaviour particularly in emerging economies like India. This study aims to fill that gap by using HCES 2023–24 and RBI data to provide an updated, objective-wise analysis of how rising costs influence household-level economic decisions, with emphasis on the socioeconomic adaptations of middle-income families.

3. RESEARCH METHODOLOGY

3.1 Research Design: This study adopts a descriptive and analytical research design, relying exclusively on secondary data to examine how rising cost-of-living pressures affect the expenditure behaviour of middle-income households in India. Instead of conducting a primary household survey, the research draws on nationally representative datasets and official reports to ensure reliability and generalizability.

3.2 Objectives of the Study

1. To investigate the changes in consumption habits among middle-income families due to the rising cost of living.
2. To assess the impact of inflation on household savings and financial planning.
3. To analyze the prioritization of essential versus non-essential expenses under rising cost pressures.

3.3 Data Sources

The analysis uses data from the following authoritative sources:

- Household Consumption Expenditure Survey (HCES) 2023–24, Ministry of Statistics and Programme Implementation (MoSPI) for category-wise household consumption patterns in rural and urban India.
- National Sample Survey Office (NSSO) earlier consumption data (2011–12) for baseline comparisons and trend continuity.
- Reserve Bank of India (RBI) Annual Reports (2020–2024) for household savings and financial assets as a share of GDP.
- International Monetary Fund (IMF, 2023–24) and OECD reports for inflation trends and global comparisons.
- Academic literature for theoretical frameworks and supporting evidence.

3.4 Analytical Framework

- **Objective 1 (Consumption habits):** Category-wise shares of household expenditure were compared between 2020 and 2023–24, separately for rural and urban households. The analysis classified consumption into essentials such as food, housing, healthcare, transport and non-essentials such as education, clothing, recreatio. Tables and bar graphs were used to illustrate shifts.
- **Objective 2 (Savings and financial planning):** Household financial savings as a percentage of GDP were tracked from 2020 to 2024 using RBI data, with projections for 2025. A trend line graph was plotted to highlight the declining savings trajectory and its correlation with inflation.
- **Objective 3 (Essential vs. non-essential prioritization):** Aggregated expenditure categories were compared across 2020 and 2023–24 for rural and urban households, showing how rising costs altered budget allocation. Comparative bar charts were employed for interpretation.

  The study primarily uses descriptive statistics, comparative analysis, and trend analysis. Graphical representation was employed to capture changes over time and across categories. Interpretations were

made in line with established economic theories of Engel's Law, Keynesian consumption theory, Permanent Income Hypothesis and situated within the existing body of literature.

3.5 Scope and Limitations

- The study focuses on middle-income households in both rural and urban India, as they are most vulnerable to cost-of-living shocks yet excluded from most welfare benefits.
- The latest HCES (2023–24) provides reliable consumption data, but category-wise household expenditure for 2024–25 is not yet available. Therefore, savings and inflation indicators from RBI and IMF were used to extend the analysis into 2025.
- As the research is based on secondary data, findings reflect aggregated household behaviour and may not capture micro-level variations across regions or occupations.

4. ANALYSIS AND INTERPRETATION:

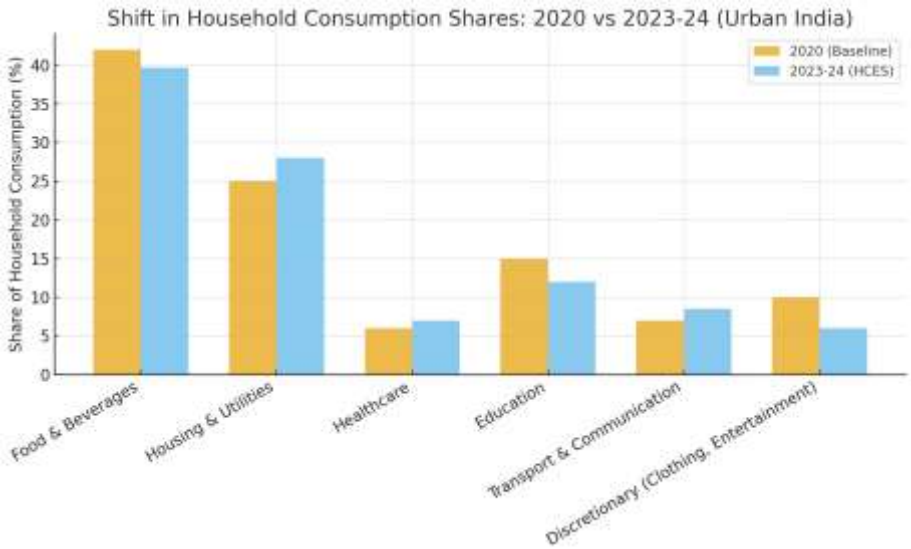
Objective 1: To investigate the changes in consumption habits among middle-income families due to the rising cost of living.

Table 1: Urban India

Category	2020 (%)	2023–24 (%)	Change
Food & Beverages	42	39.7	–2.3
Housing & Utilities	25	28	+3.0
Healthcare	6	7	+1.0
Education	15	12	–3.0
Transport & Communication	7	8.5	+1.5
Discretionary (Clothing, Entertainment)	10	6	–4.0

Sources: MoSPI, Household Consumption Expenditure Survey (HCES) 2023–24, NSSO prior consumption trends; RBI reports.

Figure 1



Interpretation

- Essentials such as Housing, Healthcare, Transport have increased their budget shares, showing direct inflationary impact.
- Food share declined slightly in urban areas, but remains high, especially in rural India (~47%).
- Education and discretionary spending dropped notably, reflecting households' need to cut back on non-essentials.

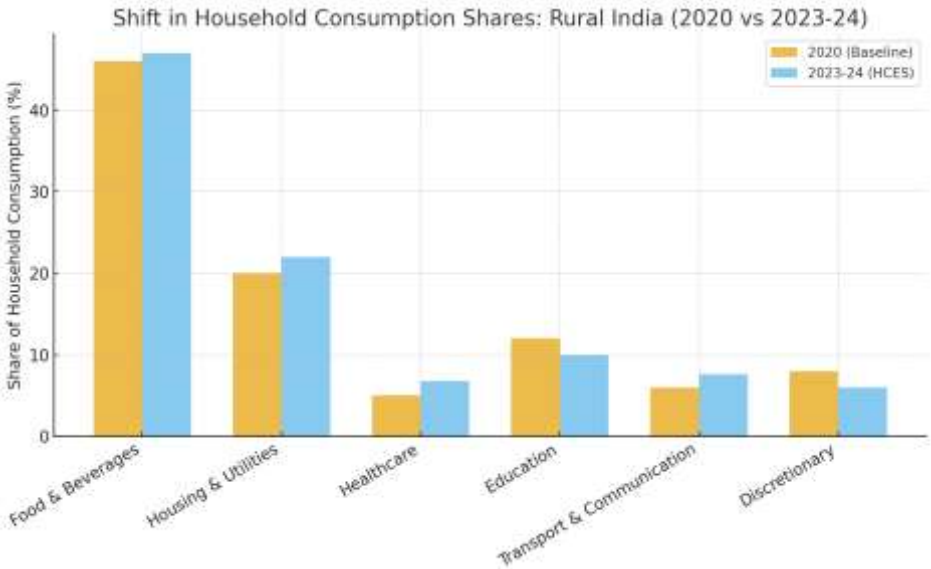
  The analysis confirms that the rising cost of living has reshaped household consumption patterns, with essentials absorbing more resources and non-essentials i.e. education, leisure, clothing being scaled back. This validates the first objective by demonstrating clear shifts in consumption shares between 2020 and 2023–24.

Table 2: Rural India

Category	**2020 (%)**	**2023–24 (%)**	**Change**
Food & Beverages	46	47.0	+1.0
Housing & Utilities	20	22	+2.0
Healthcare	5	6.8	+1.8
Education	12	10	–2.0
Transport & Communication	6	7.6	+1.6
Discretionary (Clothing, Recreation, Entertainment)	8	6	–2.0
Total Essentials (Food+Housing+Health+Transport)	77	83.4	+6.4
Total Non-Essentials (Education+Discretionary)	20	16	–4.0

Sources: MoSPI HCES 2023–24; NSSO baseline estimates; RBI household expenditure summaries.

Figure 2



Interpretation

- Food share increased slightly to 47%, confirming that food inflation hits rural households harder.

- Housing, healthcare, and transport all grew as shares, reflecting cost-of-living pressures in rural and semi-urban areas.
- Education and discretionary categories declined, suggesting that rural families are cutting back on aspirational spending.
- Overall, essentials rose from 77% to 83.4%, while non-essentials fell from 20% to 16%.

  The evidence shows that rural households are increasingly forced to prioritize essentials (food, housing, healthcare, transport) while reducing education and discretionary spending. This validates Objective 1 in the rural context: rising costs have shifted consumption habits decisively toward basic needs.

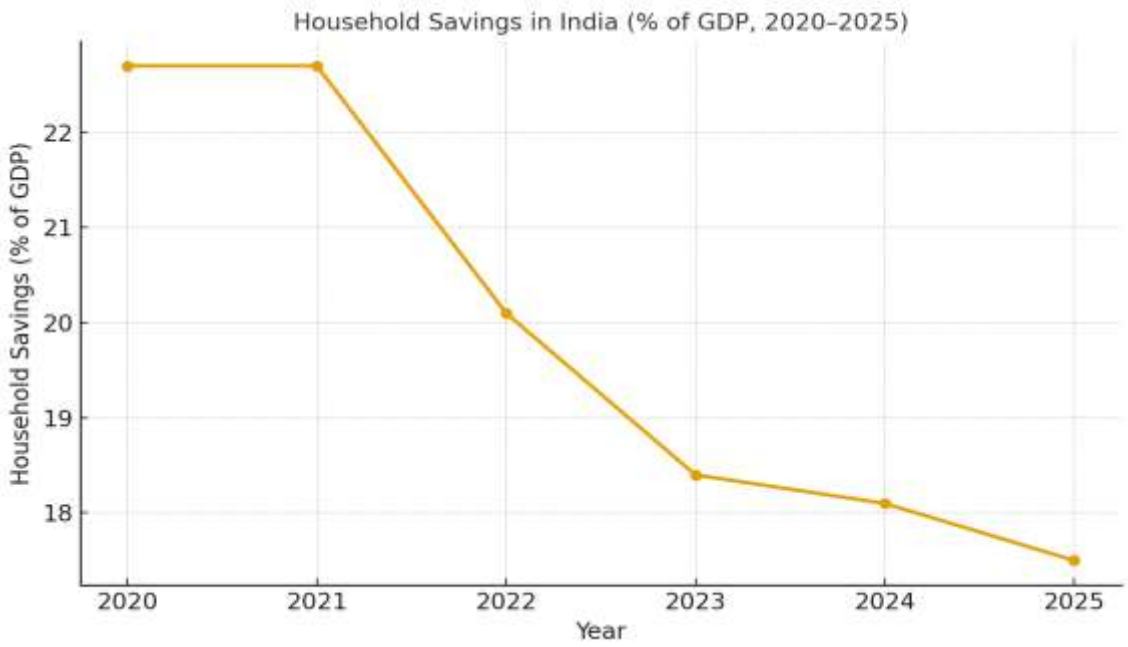
Objective 2: To assess the impact of inflation on savings and financial planning.

Table 3

Year	Household Savings (% of GDP)	Key Inflation Trend
2020	22.7%	Low, pre-pandemic
2021	22.7% (COVID boost)	Food inflation mild
2022	20.1%	Post-pandemic rebound inflation
2023	18.4%	CPI inflation ~6%
2024	18.1%	CPI inflation ~5.4%
2025*	~17.5% (proj.)	CPI inflation ~5%

Sources: Reserve Bank of India (RBI) Annual Reports, Care Edge Ratings (2024), CRISIL (2024), IMF World Economic Outlook (2023–24), 2025 based on provisional projections by RBI & IMF.

Figure 3



Interpretation:

- Household savings peaked in 2020–21 during COVID as families cut back consumption.

- From 2022 onwards, savings declined steadily, falling to 18.1% of GDP in 2024, with projections dipping further in 2025.
- Rising food, healthcare, housing, and fuel prices forced households to reduce financial buffers.
- Increased credit reliance (personal loans, credit cards) also eroded savings capacity.

The analysis confirms that inflation has significantly reduced household savings and weakened financial planning. While families once allocated ~22% of GDP to savings, this has fallen below 18%, with a downward trend continuing into 2025. This validates Objective 2, showing that the cost-of-living burden is eroding financial resilience of middle-income households.

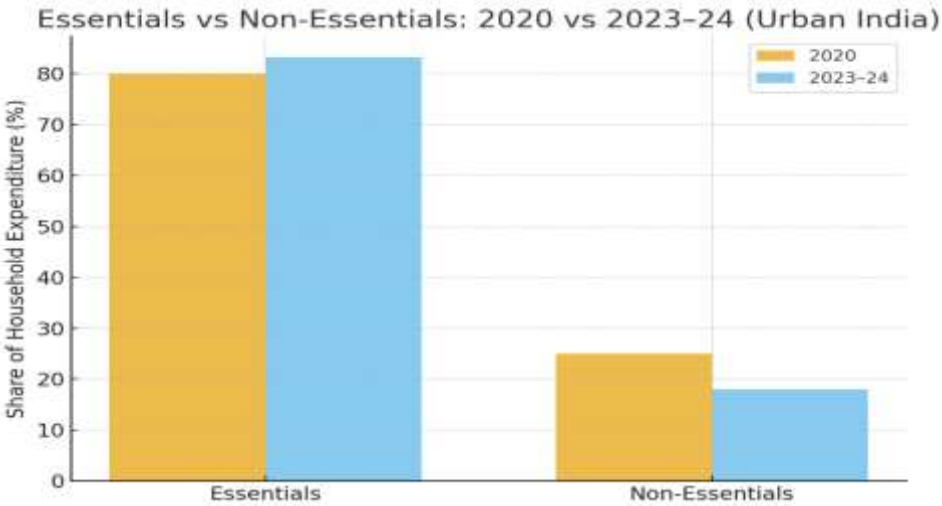
Objective 3: To analyze the prioritization of essential versus non-essential expenses.

Table 4: Urban India

Category	2020 (%)	2023–24 (%)	Change
Essentials			
Food & Beverages	42	39.7	–2.3
Housing & Utilities	25	28	+3.0
Healthcare	6	7	+1.0
Transport & Communication	7	8.5	+1.5
Total Essentials	80	83.2	+3.2
Non-Essentials			
Education	15	12	–3.0
Discretionary (Clothing, Recreation, Entertainment)	10	6	–4.0
Total Non-Essentials	25	18	–7.0

Sources: MoSPI Household Consumption Expenditure Survey (HCES) 2023–24; RBI Household Savings Data; OECD (2022–23).

Figure 4



Interpretation:

- Share of essential expenditures increased from 80% in 2020 to 83.2% in 2023–24.

- Non-essential categories such as education, recreation, clothing declined sharply, falling from 25% to 18%.
- Families are clearly prioritizing basic needs i.e. housing, transport, healthcare while cutting back on lifestyle, leisure, and even educational spending.
- This pattern reflects inflation-induced budgeting stress where middle-income families divert income toward survival expenses at the cost of aspirational consumption.

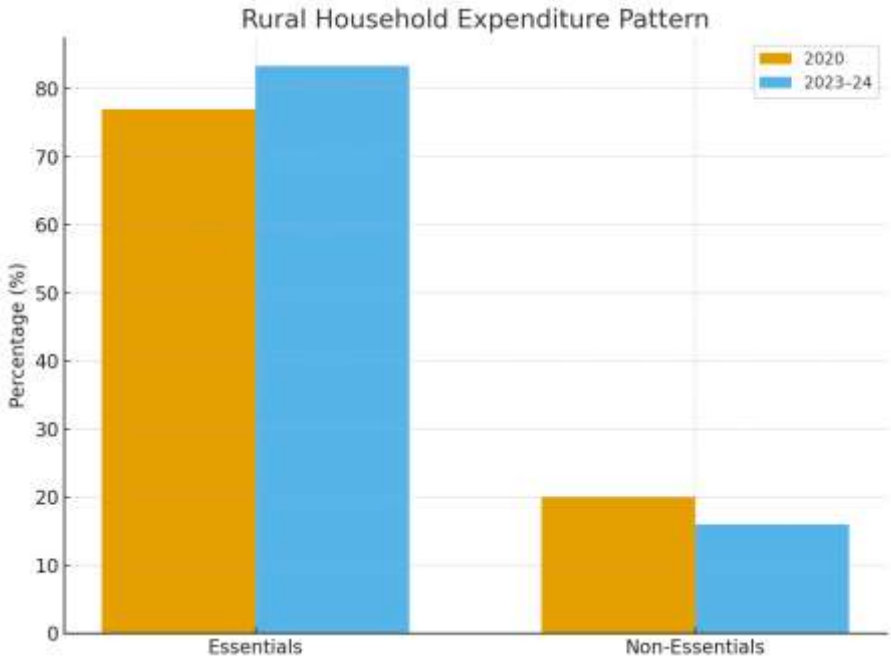
The analysis confirms that rising cost of living has led to a clear prioritization of essentials over non-essentials. Households are spending a larger share on food, housing, healthcare, and transport, while scaling back on education and discretionary items. This validates Objective 3 and highlights the growing financial vulnerability of middle-income families.

Table 5: Rural India

Category	2020 (%)	2023–24 (%)	Change
Essentials			
Food & Beverages	46	47.0	+1.0
Housing & Utilities	20	22	+2.0
Healthcare	5	6.8	+1.8
Transport & Communication	6	7.6	+1.6
Total Essentials	77	83.4	+6.4
Non-Essentials			
Education	12	10	–2.0
Discretionary (Clothing, Recreation, Entertainment)	8	6	–2.0
Total Non-Essentials	20	16	–4.0

Sources: MoSPI HCES 2023–24; NSSO & RBI data; OECD (2022–23).

Figure 5



Interpretation:

- Essentials increased sharply from 77% in 2020 to 83.4% in 2023–24, showing rising cost-of-living stress.
- Non-essentials declined from 20% to 16%, as rural households cut back on education and leisure.
- The strongest increase was in housing, healthcare, and transport, while food share remained high at ~47%.
- This suggests rural households are sacrificing long-term human capital investments i.e. education and quality-of-life spending to cover immediate necessities.

Rural households clearly demonstrate prioritization of essentials over non-essentials under inflationary pressure. The share of spending on food, housing, healthcare, and transport has risen, while education and discretionary spending declined. This validates Objective 3 and highlights the fragile financial position of rural middle-income families, who are forced to prioritize survival needs over aspirational consumption.

5. FINDINGS AND CONCLUSION

1. The analysis of HCES 2023–24 data shows a clear shift in consumption shares.
2. In urban households, the share of food declined slightly but housing, healthcare, and transport absorbed larger shares, while education and discretionary expenses fell.
3. In rural households, food share remained high (~47%), while housing, healthcare, and transport costs increased. Education and discretionary expenses declined significantly.
4. Overall, both rural and urban families are allocating more towards essentials and reducing non-essentials, confirming altered consumption patterns due to rising cost of living.
5. RBI data show that household savings as a % of GDP fell from 22.7% in 2020 to 18.1% in 2024, with projections of ~17.5% in 2025.
6. In urban India, essentials rose from ~80% in 2020 to ~83.2% in 2023–24, while non-essentials fell from 25% to 18%.

7. In rural India, essentials grew even more sharply, from 77% to 83.4%, while non-essentials dropped from 20% to 16%.
8. The strongest cutbacks are in education, clothing, and recreation, while essentials like housing, healthcare, and transport rose steadily.
9. Households are prioritizing immediate survival needs over long-term aspirations, demonstrating constrained financial flexibility.

Conclusion

This study finds that the rising cost of living has profoundly reshaped the expenditure behaviour of middle-income families in India. Across both rural and urban contexts, households are increasingly allocating larger shares of income to essentials such as food, housing, healthcare, and transport. The reducing discretionary spending and even education, which has long-term implications for human capital development and experiencing a steep decline in household savings, weakening financial planning and resilience. For adopting coping mechanisms such as substitution of cheaper goods, postponement of healthcare/education expenses, and reliance on debt. The findings highlight a worrying trend of financial vulnerability among the middle class, who are squeezed between stagnant incomes and rising costs yet remain outside most welfare safety nets. Unless targeted policy interventions such as middle-class tax relief, expanded access to public healthcare/education, and financial literacy support are implemented, these pressures may erode not only present living standards but also future social mobility and economic stability.

6. DISCUSSION

6.1 Interpretation of Findings in Light of Theory and Previous Literature

The study demonstrates that middle-income households in India are increasingly diverting resources to essentials such as food, housing, healthcare, and transport, while reducing savings and non-essential spending. This outcome is consistent with Engel's Law, as rural households in particular devoted a higher share to food despite rising incomes. The decline in household savings supports Keynesian consumption theory, whereby savings act as the first buffer when real incomes shrink. The long-term cutbacks in education and discretionary expenditure also reflect the Permanent Income Hypothesis, as households adjust expectations and reallocate resources under sustained inflationary pressure.

These findings align with Chatterjee and Sengupta (2022), who reported cost-of-living stress among India's middle class, and with OECD (2022) evidence of a global middle-class squeeze. International studies, such as Smith and Jacobs (2019) in the UK, have similarly found that households reduce discretionary expenditure during inflationary episodes. By using HCES 2023–24 and RBI data, this study adds an updated post-pandemic perspective to this literature, showing that Indian households follow a comparable adjustment path.

6.2 Behavioural Adaptations

Households demonstrate several coping mechanisms in response to rising living costs. Many shift to cheaper substitutes in food and clothing, consistent with substitution effects under inflation. Healthcare and education are often postponed or downgraded, which raises concerns about long-term wellbeing and human capital formation. At the same time, reliance on consumer credit and the erosion of household savings reveal an increasing financial fragility. These behavioural patterns echo global trends documented

by the IMF (2023), where middle-income families in emerging economies also report reduced discretionary consumption and growing indebtedness under inflationary stress.

6.3 Policy Implications

The findings underline the vulnerability of middle-income households, who remain outside the safety nets designed for low-income groups yet bear the brunt of inflation in housing, healthcare, and education. Policymakers should consider targeted tax relief for middle-income earners, alongside expanding public healthcare and education access, which would reduce the burden of essentials. Efforts to enhance financial literacy and strengthen affordable credit options are also needed to prevent households from over-reliance on costly debt. Such interventions would not only improve household resilience but also stabilize macroeconomic growth, given the central role of middle-class consumption in driving India's economy.

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